

Microsoft Corporation

MSFT · Quick Research

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1) Understandability & Growth Story

- **How it makes money:** Microsoft sells software, cloud services, devices and subscriptions (Microsoft 365, Azure, Windows, Xbox, LinkedIn) to enterprises and consumers.
- **Specific growth driver: Azure & Intelligent Cloud expansion** — continued enterprise cloud adoption driving revenue and margin expansion over 3–5 years.
- **Controllable vs. external: Mostly controllable** — growth comes from company execution (product, sales, price mix) with some exposure to macro IT spend.

2) Diagnostic Profile (No Single Category)

- **Cyclicality:** Low | Conviction: **High** | Evidence: multi-year EPS increase (2022 EPS 9.65 → 2025 EPS 13.64) with no peak→trough cycles.
- **Turnaround status:** None | Conviction: **High** | Evidence: revenues and EPS have trended up each year.
- **Growth profile:** Moderate/Other | Conviction: **Medium** | Evidence: 2-yr EPS CAGR ≈ **18.7%** (9.68 → 13.64) — strong but below 20% cutoff.
- **Business maturity:** Mature | Conviction: **High** | Evidence: large scale, broad product portfolio and \$3.1T market cap.
- **Asset angle:** None | Conviction: **High** | Evidence: tangible book ≈ \$201B << market cap.
- **Dominant analytical lenses:** Mature business, Moderate growth

2.1 Cyclicality

- **State:** Low | Conviction: **High** | Evidence: steady annual revenues (2022 \$198.3B → 2025 \$281.7B) and EPS gains.

3) Fatal Flaw Check

- **EPS trend:** Acceptable — EPS rose 2022→2025 (9.65 → 13.64).
- **Debt danger:** OK — interest-bearing debt $\approx$ \$57B vs equity $\approx$ \$414B → D/E $\approx$ **14%** (< thresholds).
- **Valuation:** OK — trailing P/E 24.8, PEG 1.28 (both within acceptable limits).
- **Recent trend break:** No major recent deterioration.
- **Cash flow red flag: Flagged** — net income rose 2024 \$88.14B → 2025 \$101.83B while free cash flow (FCF) fell 2024 \$74.07B → 2025 \$71.61B (and accounts receivable grew faster than revenue: AR 2024 \$57.75B → 2025 \$70.85B vs revenue +14.9%), suggesting a revenue/collection quality watch.
- **Dividend:** Pays dividend; payout ratio $\sim$ 20%.

4) Category specific check

- Not a cyclical or turnaround or asset play; **watch receivables growth vs revenue** as potential revenue quality signal.

5) Bonus Points

- **Insider buying** in last 6 months (multiple purchases listed).
- **Active buybacks** (repurchases $\approx$ \$18.4B in 2025).

6) Decision

- **DEEP RESEARCH — Strongest reason:** durable cloud + software franchise driving multi-year revenue and EPS growth; **Category fit:** Mature company with moderate/high growth potential (cloud platform leader).

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